DOCUMENT D12 · ABC BANK

Internal Audit Policy

Group policy, version 1.0 (extract). Owner: Head of Internal Audit. Classification: For internal use only.

Title	Version	Owner	Approval / effective date	Approved by
Internal Audit Policy	1.0 (first issue)	Head of Internal Audit	14 June 2019	Audit Committee

Role of the Internal Audit function

The Internal Audit (IA) function is an independent, effective and objective function established by the Audit Committee (AC) to examine and evaluate the adequacy, functioning, effectiveness and efficiency of the internal control system and all other elements of the system of governance.

IA supports the AC in identifying strategies and guidelines on internal control and risk management, and provides senior management with analysis, appraisals, recommendations and information on the activities reviewed. It also carries out assurance and advisory activities for senior management. IA has full, free and unrestricted access to all records, property and personnel; the Head of IA has free and unrestricted access to the AC.

Professionalism and independence

IA members adhere to the Institute of Internal Auditors' mandatory guidance (Definition of Internal Auditing, Code of Ethics, International Standards). The Head of IA reports to the Audit Committee and holds no operational responsibility. IA remains free from interference in audit selection, scope, procedures, frequency and timing. The Head of IA may assign external resources to all or part of an audit when resources are limited or specific skills are required.

Internal Audit plan

Annually, the Head of IA proposes an IA plan to Risk Management before it is submitted to the Audit Committee for approval. The plan is developed from a prioritisation of the audit universe using a risk-based methodology, taking into account all activities, the complete system of governance, expected developments and innovations, and the input of senior management. Planning takes account of deficiencies found in previous audits and of any new risk detected.

The Head of IA reviews and adjusts the plan every six months in response to changes in the business, risks, operations, systems, controls and findings. Any significant deviation from the approved plan is communicated to, and approved by, the AC.

Audit approach

The audit approach is risk-based and focuses on controls. The plan is drawn up on the basis of a documented audit risk analysis, carried out at least once a year and reviewed every six months. The scope of auditing covers the adequacy and effectiveness of the bank's governance, risk management and internal control processes.

Reporting and monitoring

After each engagement a written audit report is issued to the auditee and the auditee's hierarchy. It states the significance of the issues found, the agreed corrective actions and their deadlines. IA monitors follow-up of issues raised and agreed actions.

Quarterly, the Head of IA provides the AC with a report on activities and significant issues in the period and a proposed action plan. The AC decides what action is to be taken on each issue and ensures it is carried out. In particularly serious situations the Head of IA informs the AC immediately.

Quality and improvement programme

IA maintains a quality and improvement programme covering all aspects of audit activity, including ongoing internal assessments and an external assessment at least every five years.

Issuer, approval and review

The Head of IA is in charge of this Policy. The Policy is approved by the Board of Directors. It is effective from 14 June 2019 and is subject to review at least annually.

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